The 'Shell Companies' Shocker

Hindenburg Research alleged that Gautam Adani's elder brother Vinod Adani, through several close associates, managed a vast labyrinth of offshore shell entities, 38 of which were identified. It put several questions to the **Adani Group** regarding these firms and related-party transactions. Some of Hindenburg's key allegations and Adani's responses:



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THE ACCUSER Nathan Anderson, founder of New York-based Hindenburg Research

ALLEGATION: Websites of 13 Vinod Adani entities seemed like rudimentary efforts to demonstrate that they are operational. Many websites were formed on the exact same day and listed the same set of nonsensical services such as "consumption abroad" and "commercial presence".
RESPONSE: Vinod Adani does not hold any managerial position in any Adani listed entity or subsidiaries and has no role in their day-to-day affairs. Any transactions by the Adani portfolio companies with any related party have been duly identified and disclosed as related-party transactions in compliance with Indian laws and have been carried out on arm's length terms.

ALLEGATION: Adani has a convoluted, interlinked corporate structure. The group's seven key listed entities collectively have 578 subsidiaries and have engaged in 6,025 separate related-party transactions in FY22 alone, per the BSE disclosures.
RESPONSE: For infrastructure business in India and many other jurisdictions, companies typically have to operate with a ringfenced project finance structure, wherein each project is housed in a separate company and financing is raised against the specific project assets. Banks and financial institutions also prefer this structure as it provides bankruptcy remoteness.

HINDENBURG RED-FLAGS ADANI'S 'CONVOLUTED, INTERLINKED CORPORATE STRUCTURE'; THE GROUP SAYS SUCH 'RING-FENCING' TO FINANCE INFRA PROJECTS IS LEGAL

ALLEGATION: Recent right-to-information requests confirm that Sebi is investigating Adanis' foreign fund stock ownership.
RESPONSE: In a June 14, 2021 letter to the BSE and NSE, Adani had termed a media report "blatantly erroneous" and "done to deliberately mislead the investing community" after it alleged that the National Securities Depository had frozen the accounts of three foreign funds—Albula Investment Fund, Cresta Fund and APMS Investment Fund—holding shares in Adani companies. Adani Group said it had written confirmation from the registrar and the transfer agent clarifying that the demat accounts in which the funds held the company's shares were not frozen.